INTRODUCTION

Previous modules described various types of fixed-income issuers and investors. In this module, we focus on the corporate fixed-income sector, composed of instruments issued by financial institutions and non-financial corporate issuers across the time-to-maturity and credit spectrums. These instruments account for a significant portion of total debt issuance and debt outstanding globally.

Learning Module Overview

- Non-financial corporations frequently use short-term external funding in the form of bank loans and securities, such as commercial paper to meet cash needs.
- Financial institutions rely on deposits, interbank markets, commercial paper, and repurchase agreements (repos) as primary sources of short-term funding.
- Commercial paper is a short-term unsecured promissory note issued by both financial institutions and non-financial corporations.
- A repurchase agreement (repo) is a form of short-term secured lending that involves the sale and simultaneous agreement to buy back a security at a pre-agreed future price.
- An investment-grade bond has a significant proportion of its yield-to-maturity (YTM) attributed to the government benchmark yield due to its strong ability to meet promised interest and principal obligations from operating cash flows.
- High-yield issuers are characterized by a higher expected likelihood of financial distress. Relative to investment-grade bonds, a higher proportion of their bonds' YTM is attributed to an issuer-specific spread over the government benchmark yield.

Learning Module Self-Assessment

These initial questions are intended to help you gauge your current level of understanding of this learning module.

1. Which of the following financing instruments provides the *most* reliable source of short-term bank funding for a non-financial corporation?

A. Revolving credit agreement
B. Committed bank line of credit
C. Uncommitted bank line of credit

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Solution:

A is correct. Revolving credit agreements, also referred to as revolvers, are the most reliable source of short-term bank funding.

B is incorrect. While committed lines of credit are a more reliable source of financing than uncommitted lines because they involve a formal written commitment, they are less reliable than revolvers. C is incorrect because

2. Identify the following statement as true or false. Justify your answer.

In an unsecured loan, the lender requires the company to provide collateral in the form of an asset that is pledged against the loan.

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Solution:

False. *Secured* loans are loans in which the lender requires the company to provide collateral in the form of an asset, such as a fixed asset that the company owns or high-quality receivables or inventory. These assets are pledged against the loan, and the lender files a security interest against them. This pledge or lien is added to the borrowing company's financial record and reflected on its credit report. Companies that lack sufficient credit quality to qualify for unsecured loans may attempt to obtain secured loans.

3. Relative to long-term debt and equity, repo funding provides which of the following benefits to a financial institution?

A. Lower cost
B. Longer-term financing
C. Greater financial flexibility

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Solution:

A is correct. Financial institutions must balance the low cost of repo funding with the greater financial flexibility of more costly longer-term financing alternatives, such as long-term debt and equity. B and C are incorrect because they are both benefits of long-term debt and equity.

4. Venus, Inc., a financial institution, and Bank A, a large regional bank, enter into a repurchase agreement in which Venus is the security seller and Bank A is the security buyer. The repo is subject to a 102% initial margin. Which of the following statements is correct?

A. Bank A benefits from a long-term cash investment on a collateralized basis with minimal liquidity risk.
B. Bank A could generate higher returns for longer repo terms and/or by accepting less liquid or lower-quality collateral.
C. The repo transaction reduces Venus's funding requirement for the security to a fraction of the bond's purchase price.

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Solution:

B is correct. Short-term repos with high-quality collateral (lowest risk) result in the lowest return; however, investors can expect higher returns for longer repo terms and/or by accepting less liquid or lower quality collateral.

A is incorrect because Bank A benefits from a short-term (not long-term) cash investment on a collateralized basis with minimal liquidity risk.

C is incorrect because the repo transaction reduces Bank A's (not Venus's) funding requirement for the security to a fraction of the bond's purchase price due to the 102% initial margin.

5. An investor is analyzing three bonds for a potential investment: a AA rated bond, a B rated bond, and a CCC rated bond. Which of the bonds is *most appropriate* if the investor is seeking safety with few issuer restrictions?

A. AA rated bond

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Solution:

A is correct. The AA rated bond is investment grade with low likelihood of default and minimal issuer restrictions. B and C are incorrect because the B rated and CCC rated bonds are considered high yield with equity-like risk attributes and often greater issuer restrictions.

6. A bond analyst would *most likely* consider the probability of default and loss given default for:

A. an investment-grade bond because of its equity-like cash flow.
B. a high-yield bond because of its higher expected likelihood of financial distress.
C. an investment-grade bond because of the importance of financial ratios and credit ratings to determine the issuer's likelihood of default.

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Solution:

B is correct. High-yield issuers are characterized by a higher expected likelihood of financial distress. Given the higher chance of default, these instruments are more equity-like in nature and analysts place a greater emphasis on the likelihood (probability) of default, potential loss given default, and the protections and secondary repayment sources that are available. A is incorrect because investment-grade bonds exhibit bond-like cash flows, for which there is a high probability of receiving the agreed-upon interest and principal payments. C is incorrect because investment-grade bond analysts use financial ratios and credit ratings to determine if and when an investment-grade issuer's likelihood of default will change and don't rely on probability of default or loss given default measures.

Discuss Filter

Discussion

What do you want to discuss... (required)

LS

Q3 >> All answers are valid:
A. Lower cost >> repo as collateralized financing is usually cheaper
B. Longer-term financing >> repo can be used as 3-5 year financing
C. Greater financial flexibility >> repo can be negotiated with substitution-clauses, automatic termination etc

Q4 >> All answers are valid:
A. Bank A benefits from a long-term cash investment on a collateralized basis with minimal liquidity risk. >> the question doesn't specify tenor, and similar to Q3 above repo can trade for long tenors
B. Bank A could generate higher returns for longer repo terms and/or by accepting less liquid or lower-quality collateral. >> correct
C. The repo transaction reduces Venus's funding requirement for the security to a fraction of the bond's purchase price. >> Venus is the security seller (thus receive cash vs deliver bonds), so they clearly benefit

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